

VERSION NO. 2	MANUAL TITLE FINANCE AND ADMINISTRATION MANUAL	DOCUMENT NO. FAM 5.3
	DOCUMENT NAME RECEIPT, INSPECTION, ACCEPTANCE AND RECORDING OF INVENTORY ITEMS AND EQUIPMENT	REVISION NO. 0
		EFFECTIVITY DATE FEBRUARY 1, 2020
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1.0 OBJECTIVES

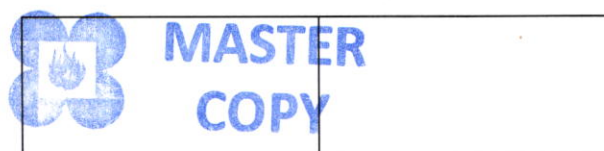
- 1.1 To establish and maintain a system on the Property Custodianship, which includes receipt, inspection, acceptance and recording of inventory items and PPE.
- 1.2 To ensure compliance with governing laws and regulations prescribed by Commission on Audit (COA) Resolutions, Department of Budget and Management (DBM) Circulars and others.

2.0 SCOPE

This process covers the receipt, inspection, acceptance and recording of inventory items and equipment.

3.0 POLICIES

- 3.1 Deliveries of supplies must be made by the supplier/ manufacturer/ contractor within the stipulated period and at the place/s indicated in the Purchase Order (PO) of the contract. In all cases, delivery shall be made within office hours and during working days. Failure to deliver within the prescribed period, the supplier/manufacturer/contractor shall be liable for applicable penalty, usually in the form of liquidated damages specified in the Contract/Purchase Order.
- 3.2 The Supply and Property Officer/Property Custodian shall accept all deliveries found in accordance with technical specifications. All items to be inspected shall be accepted first by the Supply and Property Officer/ Property Custodian, as the case maybe. Such provision pertains only to the receipting/signing on the Delivery Receipt (DR) and temporary recording of the deliveries upon arrival of goods or articles. The deliveries are still subject to inspection for conformity with specifications on the order.
- 3.3 When the amount of liquidated damages reaches the prevailing rate as provided for in the Government Procurement Law, the Procuring Entity may rescind or terminate the contract.
- 3.4 Responsibility in case of damage, spoilage, or loss shall be governed by existing laws on the matter unless the purchase order or contract provides otherwise.



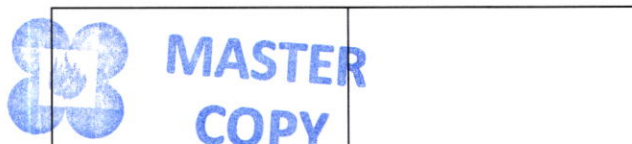
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3.5 The inspection of items shall be done by the Inspectorate Committee/Team whose members shall be determined and designated by the HOPE.

3.6 Acceptance or Rejection of Deliveries of Goods. The Inspectorate Team may recommend a rejection/reduction of price when there is a shortage in quantity, deficiency, or defectiveness in quality. Supplies or property whose quantity is short by volume, weight, actual count, etc. shall be subjected to reduction on contract price at an amount equivalent to the shortage, provided that the said deliveries are acceptable to the agency or unit; and damaged items that are not disclosed or incorrectly marked as such shall be subjected to corresponding reduction in the contract. Acceptance of deliveries maybe made only if the supplies and materials delivered conform to the standards and specifications stated in the contract/PO.

4.0 PROCEDURES

Responsibility	Activity
Supply and Property Officer/ Property Custodian	1. Signs in the "Received" portion of the original and copy of the Delivery Receipt (DR) 2. Files the original and returns Copy of the DR to the Purchaser 3. Prepares Inspection and Acceptance Report (IAR) 4. Forwards Copies of IAR, original of DR, and copy of approved PO to the Inspectorate Team for inspection of deliveries
Inspectorate Team	5. Receives a copy of IAR and DR and inspects and verifies items as to quantity and conformity to specifications based on the DR and approved PO a. If delivery is not in conformity to the specifications or delivery is incomplete, indicates notation on the IAR that the deliveries are not in conformity to specifications and/or terms agreed under the approved PO and returns the Copies of



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IAR, original of DR, and Copy of approved PO to the Supply and Property Management Unit

Supply and Property
Officer/Property
Custodian

- b. If delivery is in order, indicates the date of inspection, places "√" in the box for *"Inspected, verified and found in order as to quantity and specifications"*, and signs the "Inspection" portion of the IAR. Retains Copy of IAR and forwards Copies of IAR, original of DR and Copy of PO to the Property Custodian for acceptance of goods delivered
6. For deliveries not conforming to specification and/or terms of the PO, receives Copies of IAR, original of DR and Copy of PO, returns the items to the supplier and requires the latter to comply with the agreed specifications and/or terms of the PO
7. For deliveries in order, indicates the date of acceptance, places "√" in the box for *"Complete as to quantity and specifications"* or *"Partial (pls. specify quantity)"*, and signs the "Acceptance" portion of the IAR
8. Stores the items delivered for issue to the Requisitioning Office
9. Distributes IAR as follows:
 - a. Supply and Property Mgt. Unit (to be attached to the DV, together with the original DR)
 - b. Inspection Committee
 - c. Accounting Unit (attached in setting up payables)
 - d. File copy



**MASTER
COPY**

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10. Attaches the original IAR, Copy of DR, Original copy of PO, Notice of Award, Abstract of Quotations, Request for Quotations, BAC Resolution and photocopy of PR and forwards documents to the Accounting Unit for the processing of DV

11. Records receipt of delivered/accepted goods and posts necessary information to the Stock Cards and Property Cards based on the Copy of IAR, copy of PO and DR

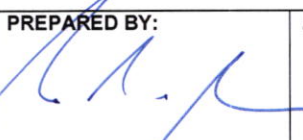
5.0 LIST OF FORMS AND REPORTS

5.1 Forms

None

5.2 Reports

None

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